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MOHSIN IBRAHIM HOSSAIN
AIUB, ACCOUNTING NOTE,

#Accounting
In Action!!
Ch 01

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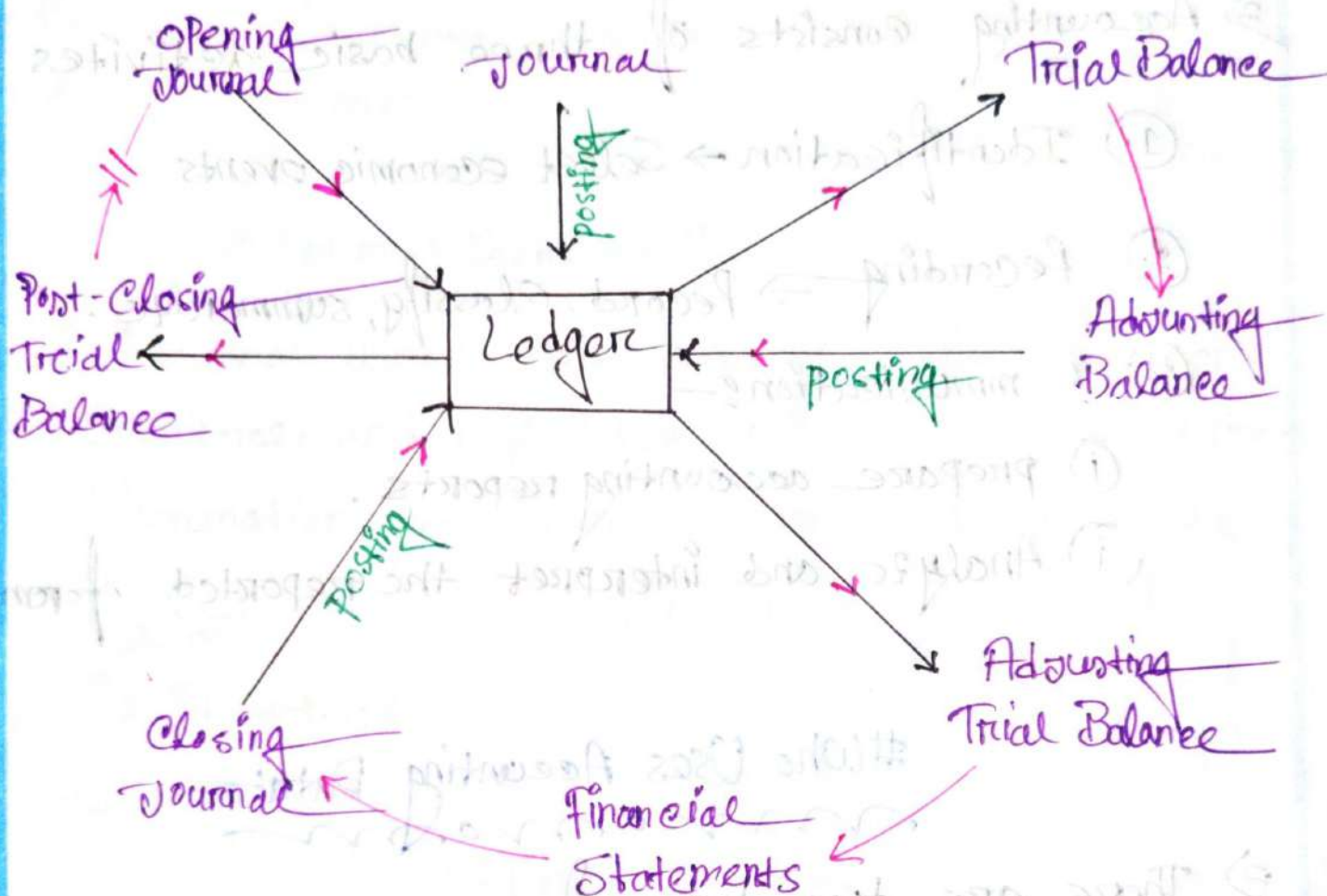
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Accounting Cycles



Note:-

- ① Each page of ledger is called an account.
- ② Total of pages is called balance.

Accounting Activities and Users

⇒ Accounting consists of three basic activities

① Identification → Select economic events

② Recording → Record, classify, summarize.

③ Communication:-

i) prepare accounting reports.

ii) Analyze and interpret the reported information.

Who Uses Accounting Data?

⇒ There are two types of users.

① Internal Users.

② External Users.

Internal Users:-

⇒ Internal Users are people inside a company who use internal data for their work and decision-making.

Some of internal users are.

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- ① Finance
- ② Marketing
- ③ Human Resources
- ④ Management.

External Users:

⇒ External users are outsiders like investors, creditors, and regulators who depend on a company's information for decisions and assessments.

Ex:-

- (i) Investors
- (ii) Creditors.

Basic Concepts:

- ① The three steps in accounting process are identification, recording, and communication → True.
- ② Bookkeeping encompasses all steps in the accounting process. → False.
- ③ Accountants prepare, but do not interpret financial reports → False.

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- ④ The two most common types of external users are investors and company officers → **False**.
- ⑤ Managerial accounting focuses on reports for internal users. → **True**.

The Building Blocks of Accounting

Ethics —

⇒ Ethics in financial reporting: — Moral principles for honest and accurate financial information presentation, vital for trust and market integrity.

1. Honest —

2. Correct numbers.

3. Fair reports.

Q:- Ethics are the standards of conduct by which actions are judged as:-

- (a) right or wrong
- (b) honest or dishonest
- (c) fair or not fair
- (d) all of these options

Ans:- (d)

Accounting Standards:-

Generally Accepted Accounting principles (GAAP):-
Standards that are generally accepted and universally practiced. These standards indicate how to report economic events.

It's follows:-

- (i) Principle
- (ii) Methods
- (iii) Technique
- (iv) assumption
- (v) Policies. etc.

* Standard-setting bodies:—

- ① Financial Accounting Standards Board (FASB)
- ② Securities and exchange Commission (SEC)
- ③ International Accounting Standards Board (IASB)

USA → GAAP → FASB

BD → IFRS → IASB ← IFRC

↓
International Financial
Reporting Standards

↓
Financial Reporting
Council.

Measurement Principles:—

- ① Historical Cost principle:—

⇒ record assets at their cost

Ex:-

Balance Sheet: 2021

Assets:-

Land → 5000

Balance Sheet: 2022

Assets:-

Land → 5000

② Fair Value principle:—

⇒ Assets and liabilities should be reported at fair value.

Balance sheet: 2020

Assets:—

Land → 500k

Balance sheet: 2022

Assets:—

Land → 700k

Assumptions:—

⇒ Monetary Unit Assumption:—

⇒ Include in accounting records only transaction data that can be expressed in terms of money.

Economic Entity Assumption:—

⇒ Activities of entity be kept separate and distinct from activities of its owners and all other economic entities.

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Forms of Business Ownership:-

① Proprietorship.

② Partnership.

③ Corporation.

Q:- Indicate whether each of the presented below is true or false. If false indicate how to correct the statement.

① Congress passed the Sarbanes-Oxley Act to reduce unethical behavior and decrease the likelihood future corporate scandals. → True.

② The primary accounting standard-setting body in US is the FASB. → True.

③ The Historical cost principle dictates that companies record assets at their cost. In later periods, however, the fair value of the asset must be used if fair value is higher than its cost. → False.

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4. Relevance means that financial information matches what really happened, the information is factual. → False.

5. A business owner's personal expenses must be separated from expenses of the business to comply accounting's economic entity assumption. → True.

Q- Combining the activities of Kellogg and General Mills would violate the.

(a) Cost principle.

☒ (b) Economic entity assumption

(c) Monetary unit assumption.

(d) Ethics principle.

Q- A business organized as a separate legal entity under state law having ownership divided into shares of stock is a

(a) proprietorship.

(b) partnership.

☒ (c) corporation

The Accounting

Equation:—

$$\text{Assets} = \text{Liabilities} + \text{Owner's equity.}$$

Assets:—

- ① Resources a business owns.
- ② provide future service or benefits.
- ③ Cash, Supply, Equipment, etc.

Liabilities:—

- ① Claims against Assets (debts and obligations)
- ② Creditors
- ③ Accounts payable, Notes payable, Salaries and wages payable, etc.

Owner's Equity:—

- ① Ownership claim on total assets.
- ② Referred to as residual equity.
- ③ Investment by owners and revenues (+)
- ④ Drawings and expenses (-)

So, the Expanded Equation:—

$$\text{Assets} = \text{Liabilities} + \text{Owner's Capital} - \text{Owner's Drawings} + \text{Revenues} - \text{Expenses}$$

3.1 Increase in Owner's Equity:—

- ① Investment by Owner.
- ② Revenues.

4.1 Decrease in Owner's equity:—

- ① Drawings:— A withdrawal of cash or other Assets for personal use.
- ② Expenses:— Cost of assets consumed or services used in the process of earning revenue.

Exp:-

- ① Salaries expense.
- ② Rent expense.
- ③ Utilities expense.
- ④ tax expense. etc.

For make a income statement:-
~~~~~

$$\text{Total Revenues} - \text{Total Expense} = \Delta \text{ Profit}$$

make a

# For A Owner's Equity Statement:-  
~~~~~

$$\text{Ending Capital} = \text{Beginning Capital} + \text{Additional Capital} - \text{Drawing} + \text{Profit}$$

Note:-

- ① if we found the ending capital then we find Balance Statement.

Tabular Analysis:-

⇒ Transaction made by Virmani & Co., a public Accounting firm, for the month of August are shown below. prepare a tabular Analysis which shows the effects of these transaction on the expanded accounting equation, Similar

1. The Owner invested \$25,000 cash in the business.
2. The Company purchased \$7,000 of office equipment on credit.
3. The Company received \$8,000 cash in exchange for Services performed.
4. The company paid \$850 for this month's rent
5. The Owner withdrew \$1000 cash for personal use.

⇒ rules:-

① On Account/On Credits কোর সময় - প্রদান বুঝতে হবে
বকিতে কোর হয়েছে . কোর বিক্রির সময় প্রদান বুঝতে
হবে বকিতে বিক্র্য করা হয়েছে .

② All payable are Liabilities .

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GOOD LUCK

Date T.No.	Assets = Liabilities +		Owner's Equity		
	Cash + Equipment	Account Payable	Owner's Capital	Drawings + Revenues	Expenses
1.	25,000		25,000		
2.	7,000	7,000			
3.	8,000			8,000	
4.	(850)				(850)
5.	(1,000)			(1,000)	
	31,750	7,000	25,000	8,000	(850)
	38,150		38,150		

Financial Statements:-

⇒ There are four types of financial statements:-

1. Income Statement
2. Owner's Equity Statement
3. Balance Sheet.
4. Statement of Cash flows.

Problem:-

⇒ Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2020 he invests \$ 15,000 Cash in the business.

- ① On September 2, Softbyte purchases computer equipment for \$3000 cash.
- ② September 5, Softbyte purchases for \$16.00 headphones and other computer accessories expected to last several months. The supplier allows softbyte to pay this bill in October.
- ③ Softbyte receives \$1200 cash from customers for APP service it has performed. on September 8.
- ④ Softbyte receives a bill for \$250 from the Daily News for advertising on its online website but postpones payment until a later date. on September 9.

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- ⑤ Softbyte performs \$3,500 of app development services for customers. The company receives cash of \$1,500 from customers, and it bills the balance of \$2,000 on account. On September 13.
- ⑥ Softbyte pays the following expenses in cash for September: office rent \$600, salaries and wages of employees \$900, and utilities \$200, on September 20.
- ⑦ Softbyte pays its \$200 Daily News bill in cash. The company previously recorded the bill as an increase in Accounts Payable and decrease in owner's equity. On September 23.
- ⑧ Softbyte receives \$600 in cash from customers who have been billed for services (in T.N. 5) on Sep 25.
- ⑨ Pay Neal withdraws \$1,300 in cash from the business for his personal use.

⇒ Now, prepare a tabular Analysis which show the effects of these transaction on the expanded accounting equation.

⇒ Also prepare the financial statements:-

1. Income Statement

2. Owner's Equity Statement

3. Balance sheet

4. Statement of cash flows

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Date	Assets			= Liabilities +		Owner's Equity		
	Cash +	Equip- ment +	Account receivable + Supplies	Account Payable +	Note Payable +	Owner's Drawings +	Revenues	- Expenses
2020 Sep 1								
Sep 1	15,000							
Sep 2	(2000)	2,000						
Sep 5			1600	1600				
Sep 8	12,000						1200	
Sep 9				250				(250)
Sep 13	15,000		2000				3500	
Sep 20	(1700)							(600) (200) (100)
Sep 23	(200)			(200)				
Sep 25	600		(600)					
Sep 26	(1300)					(1500)		
			18100			18100		

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Softbyte

Income Statement

For the month ended September 30, 2020

Revenues:

Service revenue

\$4700

Expenses:-

Advertising expense

\$250

Rent expense

600

Salary expense

900

Utilities expense

200

Total Expense

1950

Net Income

\$ 2750

Softbyte

Owner's equity Statement

For the month ended September 30, 2020

Capital September 1

\$ 0

Add: Investment

\$15000

Add: Net Income

2750

17750

Less: Drawings

1000

Capital, September 30,

\$ 16450

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Softbyte
Balance Sheet
September 30, 2020

Assets:-

Cash	\$8050
Account Receivable	1400
Supplies	1600
Equipment	7000
Total Assets	<u>\$ 18050</u>

Liabilities and Owner's Equity:-

Liabilities:-

Account payable	\$ 1600
-----------------	---------

Owner's Equity:

Owner's Capital	16450
-----------------	-------

Total Liabilities and O. Equity	<u>\$ 18050</u>
---------------------------------	-----------------

Softbyte
Statement of cash flows
September 30, 2020

Cash flows from operating activities

Cash receipts from revenues	\$13300
Cash payment for expenses	(1250)
Net cash provided by operating activities	1250

Cash flow from investing activities

purchase of equipment

(7000)

Cash flow from financing activities

Investments by owner

\$15,000

Drawings by owner

1300

13700

Net increase in cash

8050

Cash at the beginning of the period

0

Cash at the end of the period

\$8050

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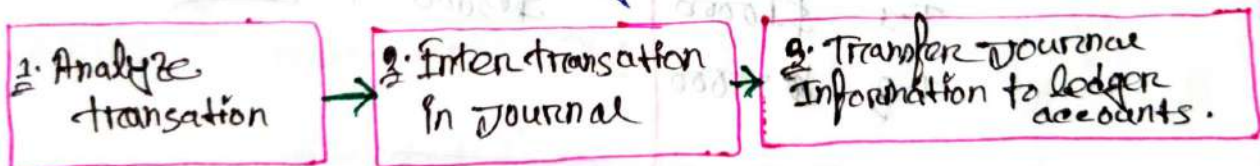
The Recording Process

Ch: 02

Debit and Credit Rules:-

- ① Asset → Increase → Debit
→ Decrease → Credit
- ② Liabilities → Increase → Credit
→ Decrease → Debit
- ③ Owner's Capital → Increase → Credit
→ Decrease → Debit
- ④ Drawings → Increase → Debit
- ⑤ Expense → Increase → Debit
- ⑥ Revenues → Increase → Credit

The Recording Process:-



The Account:-

⇒ Record of increases and decreases in a specific asset, liability or owner's equity item.

1. Debit = "Left"

2. Credit = "Right"

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⇒ An Account can be illustrated in a T-account form:—

Account Name	
Debit / Dr.	Credit / Cr.

Debit balance:—

⇒ If the sum of Debit entries are greater than the sum of Credit entries, the account will have a debit balance.

Account Name	
Dr.	Cr.
T-1 \$10000	\$3000 T-2
T-3 8000	
Balance \$15000	

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Credit balance:-

⇒ If the sum of credit entries are greater than the sum of debit entries, the account will have a credit balance.

Account Name	
Dr.	Cr.
T-1 \$10,000	\$3,000 T-2
	5,000 T-3
Balance:	\$1,000

Debits and Credits Procedure:-

- ① Each transaction must affect two or more accounts.
- ② Recording done by debiting at least one account and crediting at least one other account.
- ③ DEBITS must equal CREDITS.

Normal Account Balances:-

Assets:-

Liabilities:-

Equity:-

1. Cash (Debit)

① Notes payable (credit)

① Owner's

2. Supplies (Debit)

② Accounts payable (credit)

Capital (credit)

3. Equipment (Debit)

A Short List of Common Account Names! -

* Assets! -

* Current Assets / Short Term Assets! -

1. Cash
2. Supplies
3. Account Receivable
4. Prepaid expenses → ~~what is it~~
5. Inventory

* Long Term Assets! -

1. Land
2. Building
3. Equipment
4. Furniture and Fixture
5. Vehicles
6. License
7. Patents
8. Trademark

} Intangible Assets

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Liabilities: —

* Short Term Liabilities: —

→ ଏହି ଏକ Liabilities ଚାକିରୀ ମଧ୍ୟରେ ପରିଚାଳିତ କରାଯାଉଥିବା ଏବଂ ଏହା ଶୀଘ୍ର ଉପସ୍ଥାପନ କରାଯିବ Short term Liabilities.

1. Account payable.

2. Notes payable.

3. Accrued Liabilities → ଏହା ହେଉଛି ସେହି ସବୁ କିଛି ଯାହା ଯଦି ଯଦି

(i) Wages payable. ଏହା ଶ୍ରମିକଙ୍କୁ ଦେବାକୁ ହେଉଥିବା ଏହି ଅର୍ଥକୁ Accrued Liabilities.

(ii) Utilities payable.

(iii) Interest payable.

4. Unearned Revenue → ଅର୍ଜିତ ଆୟ

Ex:- Cash received before providing Service

DR. Cash 5000

CR. Unearned Revenue 5000

Now, You provide Service After three week

DR. Unearned Revenue 5000

CR. Service Revenue 5000

Note:- ଏହା Advance ଏବଂ ଏହା ଏକ Liabilities.

*Long term:-

- ① Notes payable → 1 धरो वारण
- ② Bank loan/ Loans Payable.
- ③ Mortgage Payable.

Equity Accounts:-

For Proprietorships and Partnership:-

1. Capital.
2. Drawings.

For Companies:-

1. Common Stock
2. Retained Earnings.
3. Dividends Paid.

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Revenue Account:-

- ① Sales Revenue or Sales.
- ② Service Revenue.
- ③ Interest Income → Interest revenue.
- ④ Rental Income → Rental revenue.

Expense Account:-

- ① Advertising Expenses.
- ② Commission Expenses.
- ③ Cost of Sales.
- ④ Delivery Expenses.
- ⑤ Depreciation Expenses. → long term Assets wear & tear.
- ⑥ Interest Expenses.
- ⑦ Insurance Expenses.
- ⑧ Rent Expenses.
- ⑨ Repair and Maintenance.
- ⑩ Salary and Wages.
- ⑪ Supplies Expenses.
- ⑫ Utility Expenses.

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#General Journal:-

Date	Accounts	ref column or folio	Dr	Cr
2020 July 1	Cash	✓	11000	
	Capital-Robinson	✓		11000
July 2	Rent Expenses	✓	800	
	Cash	✓		800
July 3	Equipment	✓	3000	
	Account payable	✓		3000
July 4	Cash	✓	700	
	Notes payable	✓		700
July 5	Cash	✓	1500	
	Service revenue	✓		1500
July 6	Account Receivable	✓	2000	
	Service revenue	✓		2000
July 7	Salary Expense	✓	500	
	Utilities Expense	✓	300	
	Adv Expenses	✓	100	
	Cash			900
July 8	Drawings-Robinson	✓	1000	
	Cash	✓		1000

Note:-

- ⇒ यदि कोई transaction 2 से अधिक Accounts पर effect करे तो इसे Compound Journal कहें।
- ⇒ यदि 2 से अधिक Accounts पर effect करे तो इसे Single Journal कहें।

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Posting to the Ledger:-

General Ledger:-

DR	Cash	CR
July 1 11000 (Capital)	July 2 800 (Rent Exp)	
July 4 700 (Note payable)	July 7 000 (Accrued Liabilities)	
July 5 1500 (Serv. Revenue)	July 8 1000 (Drawings)	
July 31 Balance 10,500		

DR	Capital	CR
	July 1 11000 (Cash)	
	July 31 Balance 11000	

DR	Rent Expense	CR
July 2 800 (Cash)		
July 31 Balance 800		

DR	Notes payable	CR
	July 4 700 (Cash)	
	July 31 Balance 700	

DR	Service Revenue	CR
	July 5 1500 (Cash)	
	July 6 2000 (Cash)	
	July 31 Balance 35000.00	

DR	Account Receivable	CR
July 6 2000 (Serv. Revenue)		
July 31-B. 2000		

DR	Equipment	CR
July 3 3000 (Account payable)		
July 31-B 3000		

DR	Account Payable	CR
	July 3 3000 (Equipment)	
	July 31-B 3000	

DR	Salary Expense	CR
July 7 500 (Cash)		
July 31 B 500		

DR	Utility Expense	CR
July 7 300 (Cash)		
July 31-B. 300		

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DR		Adv Expense	CR	DR		Drawing - Robinson	CR
July 7	100			July 8	1000		
(cash)				(cash)			
July 31	100			July 31	1000		

Trial Balance : —

Joan Robinson, Attorney

Trial Balance

July 31, 2020

	Dr.	Cr.
Cash	10500	
Capital - Robinson		11000
Rent Expense	800	
Note payable		700
Service Revenue		3500
Account Receivable	2000	
Equipment	3500	
Account payable		3000
Salary expense	500	
Utility expense	300	
Adv. expense	100	
Drawings - Robinson	1000	
	<u>18200</u>	<u>18200</u>

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Shakil's Interior Painting - I

Shakil started an interior office painting business on April 1, 2023. The events and transactions in the first month of his business have been described below:

- | | |
|----------|---|
| April 1 | Shakil invested Tk. 50,000 cash in his business. |
| April 1 | Purchased a used van for Tk. 20,000 from Jim Limited. Paid 6,000 cash on delivery and the balance was on account. |
| April 2 | Paid Tk. 2,400 to General Insurance Limited for one year insurance policy. |
| April 3 | Hired an employee to help with painting for Tk. 800 per week. |
| April 5 | Paid office rent Tk. 3,000 for the month of April. |
| April 7 | Purchased paints, brushes, and other materials for Tk. 5,000 on credit. |
| April 9 | Paid Tk. 2,000 for advertising for his interior service in a local newspaper. |
| April 11 | Received Tk. 9,000 from a customer after painting his showroom. |
| April 13 | Billed Mr. Ahmed for Tk. 8,500 for the office painting service performed. |
| April 15 | Received Tk. 6,700 from Mr. Khan for decorative painting to be done. |
| April 22 | Paid 50% of the amount due to Jim Limited. |
| April 25 | Collected Tk. 4,400 from the April 13 customer. |
| April 30 | Paid Tk. 3,200 salary to the employee. |
| April 30 | Withdrawn Tk. 4,000 for a vacation expense from the business. |

Required:

- Tabular Analysis for the month of April 2023.
- Journal, Ledger, and Trial Balance for the month of April 2023.
- Financial Statements for the month of April 2023.

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#General Journal:-

Date	Account	Bolio debit rnm	Debit	Credit
2023 April 1	Cash	✓	50,000	
	Capital - Shakir	✓		50,000
Apr 1	Vehicles	✓	20,000	
	Cash	✓		6000
	Account payable	✓		14,000
Apr 2	Prepaid Insurance Expense	✓	2400	
	Cash	✓		2400
Apr 5	Rent Expense	✓	3000	
	Cash	✓		3000
Apr 7	Supplies	✓	5000	
	Account Payable	✓		5000
Apr 9	Adv. expense	✓	2000	
	Cash	✓		2000
Apr 11	Cash	✓	9000	
	Service revenue	✓		9000
Apr 13	Account receivable	✓	8500	
	Service revenue	✓		8500
Apr 15	Cash	✓	6700	
	Unearned revenue	✓		6700
Apr 22	Account payable	✓	7000	
	Cash	✓		7000

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APR 25	Cash Account Receivable	✓ ✓	4000	4000
APR 30	Salary expense Cash	✓ ✓	3200	3200
APR 30	Drawings Cash	✓ ✓	4000	4000

General Ledger

DR	Cash	CR
2023 April 1 Capital Shakil 50,000		April 1 Vehicles 6,000
April 11 Service Revenue 9,000		April 2 Prepaid Insurance Expenses 2400
April 15 Unearned Service Revenue 6,700		April 5 Rent expense 3,000
April 25 Account Receivable 4,000		April 9 Adv. expense 2,000
		April 22 Account payable 7,000
		April 30 Salary Expense 3,200
		April 30 Drawings 4,000
April 30 Balance 42,100		

DR	Capital-Shakil	CR
		April 1 Cash 50,000
		April 30 Balance 50,000

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DR

Vehicles

CR

April 1 Cash and
Account payable 20,000

April 30 Balance 20,000

DR

Account Payable

CR

April 22 Cash 7,000

April 1 Vehicles

14,000

April 7 Supplies

5000

April 30 Balance

12000

DR

Prepaid Insurance Expense

CR

April 2 Cash 2400

April 30 Balance 2400

DR

Rent Expense

CR

April 5 Cash 3,000

April 30 Balance 3,000

DR

Supplies

CR

April 7 Account
payable 5,000

April 30 Balance 5,000

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DR

Adv. Expenses

CR

April 9 Cash 2,000

April 30 Balance 2,000

DR

Service Revenue

CR

April 11 Cash 2,000

April 13 Account Receivable 8,500

April 30 Balance 12,500

DR

Unearned Service Revenue

CR

April 15 Cash 6,700

April 30 Balance 6,700

DR

Account Receivable

CR

April 13 Service revenue 8,500

April 25 Cash 4,000

April 30 Balance 4,500

DR

Salary Expense

CR

April 30 Cash 3,200

April 30 Balance 3,200

DR

Drawings

CR

April 30 Cash 4,000

April 30 Balance 4,000

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Trial Balance: _____

Shakil's Interior Painting
 Trial balance.
 April 30, 2023

	Dr.	Cr.
Cash	42,100	
Capital Shakil's		50,000
Vehicles	20,000	
Account payable		19,000
Prepaid Insurance Expense	2,400	
Rent Expense	3,000	
Supplies	5,000	
Adv. Expense	2,000	
Service Revenue		12,500
Unearned Service Revenue		67,000
Account Receivable	4,500	
Salary Expense	3,200	
Drawings	4,000	
	86,200	86,200

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\$ Financial Statement:-

Shakil's Interior Painting
Income Statement

For the month ended April 30, 2023

Revenues:-

Service Revenue

TK 47500

Expenses:-

Rent Expense

TK 3000

Adv. Expense

2000

Salary Expense

3200

Total Expense

8200

Net profit:-

TK 11300

Shakil's Interior painting

Owner's equity Statement

For the month ended April 30, 2023

Capital - April 1, 2023

TK - 0

Add: Investment

TK 50,000

Add: Net profit

11300

51,300

Less: Drawings

50,300

4000

Capital - April 30, 2023

TK 55300

TOPIC NAME : _____

DAY : _____

TIME : _____

DATE : / /

Shakil's Interior painting

Balance sheet

April 30, 2023.

Assets:-

Cash	TK 42,100
Prepaid Insurance Expense	2,400
Supplies	5,000
Equipment/Vehicles	20,000
Account Receivable	4,500
	TK 74,000
Total Assets	

Liabilities and Owner's Equity:-

Unearned Service Revenue	TK 6,700
Accounts payable	12,000
	18,700
Capital	55,300
	TK 74,000

Shakil's Interior Painting
Income Statement
For the month ended April 30, 2023

Revenues		
Service Revenue		Tk. 17,500
Expenses		
Advertising Expense	Tk. 2,000	
Rent Expense	3,000	
Salary expense	<u>3,200</u>	
Total expenses		<u>8,200</u>
Net Profit		Tk. <u>9,300</u>

Shakil's Interior Painting
Owner's Equity Statement
For the month ended April 30, 2023

Capital – April 1, 2023		Tk.	-
Add: Investment	Tk. 50,000		
Net Profit	<u>9,300</u>		<u>59,300</u>
			59,300
Less: Drawings			<u>4,000</u>
Capital – April 30, 2023		Tk.	<u>55,300</u>

Shakil's Interior Painting
Balance Sheet
April 30, 2023

Assets

Cash	Tk. 42,500
Accounts Receivable	4,100
Supplies	5,000
Prepaid Insurance	2,400
Vehicles	<u>20,000</u>
Total Assets	Tk. <u>74,000</u>

Liabilities and Owner's Equity

Accounts Payable	Tk. 12,000
Unearned Revenue	<u>6,700</u>
Total Liabilities	18,700
Capital	<u>55,300</u>
Total Liabilities and Owner's Equity	Tk. <u>74,000</u>

TOPIC NAME : _____

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#Adjusting
The Accounts!

Ch 03

TOPIC NAME : _____

DAY : _____

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Contra-Assets:-

⇒ Long term Assets $\rightarrow$ Contra-Assets $\rightarrow$ Contra-Assets $\rightarrow$ Contra-Assets

⇒ Long term Assets $\rightarrow$ Contra-Assets $\rightarrow$ Contra-Assets $\rightarrow$ Contra-Assets
Contra Assets Account $\rightarrow$ Contra-Assets

Example:-

Contra-Assets Account = Accumulated Depreciation

Always Credit.

Depreciation:-

⇒ Depreciation is the process of allocating the cost of an asset to expense over its useful life.

① Depreciation does not attempt to report the Actual Change in the Value of the Asset.

② Allocation Concept, not a Valuation Concept.

Ex: For a Vehicle Assume that depreciation on the equipment is \$480 a year or \$40 per month.

Apr 30	Depreciation Expense	Dr. 40	Cr.
	Accumulated Depreciation-Vehicle		40

TOPIC NAME : _____

DAY : _____

TIME : _____

DATE : / /

Note:-

⇒ यदि Question इस प्रकार Depreciation on the equipment \$480. होता है। That means - हमारे पास उपकरण का जो मूल्य है, उसे 2% Depreciation इस Amount पर 1 करोड़ का बना रहेगा।

Some Basic knowledge:-

- ① Land → इसे कोई भी Asset मानते हैं।
- ② यदि हम 2% Interest rate पर 1 करोड़ पर 2% - ही Annual Interest rate.
- ③ Mortgage - एक प्रकार का ऋण है, इसे बैंक से लेना होता है।
- ④ यदि हम Insurance - का हमें करना है तो हमें Insurance - को भी देना है।
- ⑤ Residual Salvage Value = अवशिष्ट मूल्य।

Shakil's Interior Painting
Trial balance
April 30, 2023

	Dr.	Cr.
Cash	42,500	
Capital – Shakil		50,000
Vehicles	20,000	
Accounts Payable		12,000
Prepaid Insurance	2,400	
Rent Expense	3,000	
Supplies	5,000	
Advertising Expense	2,000	
Service Revenue		17,500
Accounts Receivable	4,100	
Unearned Revenue		6,700
Salary Expense	3,200	
Drawings – Shakil	4,000	
	-----	-----
	86,200	86,200
	=====	=====

The following information came to light after April 30, 2023, all of which relates to the month of April:

- 1) A count of supplies on April 30, 2023, revealed that unused supplies amounted to Tk. 1,500.
- 2) The payment to General Insurance consisted of monthly premiums for a year.
- 3) The estimated useful life of the van is 5 years with a residual salvage value of Tk. 2,000.
- 4) 40% of the painting work for Mr. Khan is complete by the end of the month.
- 5) April electricity bill received in May shows that the balance due to DESCO is Tk. 1,250.
- 6) Painting job performed for a customer amounting Tk. 5,700 was not recorded.
- 7) The advertising expense was Tk. 2,800 but the bookkeeper recorded it as Tk. 2,000 by mistake.

Instructions

- a. Journalize the adjusting entries

TOPIC NAME : _____

DAY : _____

TIME : _____ DATE : / /

Adjusting Journal Entry:-

Date	Accounts	Dr	CR
Apr 30	Supplies Expense Supplies	3,500	3,500
Apr 30	Insurance Expense Prepaid Insurance	200	200
Apr 30	Depreciation Expense Accumulated Depreciation → Vehicle	300	300
Apr 30	Unearned Revenue Service Revenue	2680	2680
Apr 30	Utility Expense Utility payable	1250	1250
Apr 30	Account Receivable Service Revenue	5700	5700
Apr 30	Adv. Expense Cash	800	800

Deferral
Type

Accruals
Type

Correction
Type

TOPIC NAME : _____

DAY : _____

TIME : _____ DATE : / /

P3.1A (LO 2, 3, 4) Logan Krause started her own consulting firm, Krause Consulting, on May 1, 2020. The trial balance at May 31 is as follows.

**Krause Consulting
Trial Balance
May 31, 2020**

<u>Account Number</u>		<u>Debit</u>	<u>Credit</u>
101	Cash	\$ 4,500	
112	Accounts Receivable	6,000	
126	Supplies	1,900	
130	Prepaid Insurance	3,600	
149	Equipment	11,400	
201	Accounts Payable		\$ 4,500
209	Unearned Service Revenue		2,000
301	Owner's Capital		18,700
400	Service Revenue		9,500
726	Salaries and Wages Expense	6,400	
729	Rent Expense	900	
		<u>\$34,700</u>	<u>\$34,700</u>

Other data:

- \$900 of supplies have been used during the month.
- Utilities expense incurred but not paid on May 31, 2020, \$250.
- The insurance policy is for 2 years.
- \$400 of the balance in the unearned service revenue account remains unearned at the end of the month.
- May 31 is a Wednesday, and employees are paid on Fridays. Krause Consulting has two employees, who are paid \$920 each for a 5-day work week.
- The office furniture has a 5-year life with no salvage value. It is being depreciated at \$190 per month for 60 months.
- Invoices representing \$1,700 of services performed during the month have not been recorded as of May 31.

Instructions

- Prepare the adjusting entries for the month of May. Use J4 as the page number for your journal.

TOPIC NAME : _____

DAY : _____

TIME : _____

DATE : / /

Adjusting Journal Entries

Date	Accounts	Ref. cost	DR.	CR.
May 31	Supplies Expense Supplies		900	900
May 31	Utility expense Utility payable		250	250
May 31	P. Insurance Expense Prepaid Insurance		150	150
May 31	Unearned Revenue Service Revenue		1600	1600
May 31	Salary Expense Salary payable		1104	1104
May 31	Depreciation Expense Accumulated Depreciation- Furniture		100	100
May 31	Account Receivable Service Revenue		1700	1700

TOPIC NAME : _____

DAY : _____

TIME : _____ DATE : / /

**Hank's Hotel
Trial Balance
May 31, 2020**

<u>Account Number</u>		<u>Debit</u>	<u>Credit</u>
101	Cash	\$ 3,400	
126	Supplies	2,080	
130	Prepaid Insurance	2,400	
140	Land	12,000	
141	Buildings	60,000	
149	Equipment	15,000	
201	Accounts Payable		\$ 4,700
208	Unearned Rent Revenue		3,300
275	Mortgage Payable		40,000
301	Owner's Capital		41,380
429	Rent Revenue		10,300
610	Advertising Expense	600	
726	Salaries and Wages Expense	3,300	
732	Utilities Expense	900	
		<u>\$99,680</u>	<u>\$99,680</u>

Other data:

1. Prepaid insurance is a 1-year policy starting May 1, 2020.
2. A count of supplies shows \$750 of unused supplies on May 31.
3. Annual depreciation is \$3,600 on the buildings and \$1,500 on equipment.
4. The mortgage interest rate is 6%. (The mortgage was taken out on May 1.)
5. Two-thirds of the unearned rent revenue has been earned.
6. Salaries of \$750 are accrued and unpaid at May 31.

Instructions

- a. Journalize the adjusting entries on May 31.

TOPIC NAME : _____

DAY : _____

TIME : _____ DATE : / /

Accounting Journal Entry:-

Date	Accounts	Dr.	Cr.
May 31	Insurance Expense prepaid Insurance	200	200
May 31	Supplies Expense Supplies	1330	1330
May 31	Depreciation Expense Accumulated Depreciation -Buildings	300	300
May 31	Interest Expense Interest payable	200	200
May 31	Depreciation Expense Accumulated Depreciation - Equipment	125	125
May 31	Unearned Revenue Service Revenue	2200	2200
May 31	Salary Expense Salary payable	750	750